



POLICY MEMORANDUM

To: **Her Excellency Angela Merkel**,
Chancellor of the Federal Republic of
Germany

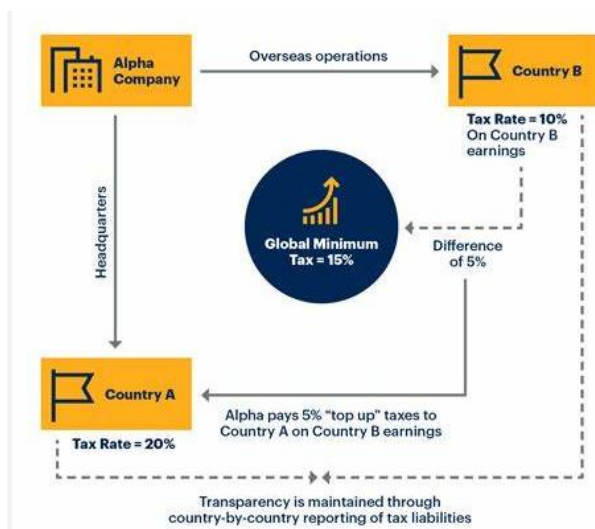
From: Alessia Canuto

Subject: Global Minimum Tax on Multinational Corporations at the October 2021
G20 Meeting

Date: 29 August 2021

Summary

The issue at hand revolves around the impact of MNCs and the proposed minimum corporate income tax of 15%. The proposal (see Figure 1) seeks to curb tax havens' competition and aims to impact around 10,000 major companies with over €750 million turnover. Governments might still choose the local corporation tax rate they like, but the benefit of moving revenues would be lost if businesses paid lower rates in a given nation, since their home governments could raise taxes to the minimum of 15%.



The decision is crucial to balance the positives and negatives associated with MNCs. It is imperative to protect additional investment flows, technology expertise, and market access while addressing concerns related to capital reduction, technology fees, and competition against domestic firms. The proposed 15% minimum rate and the right for countries to tax multinationals' profits earned locally are pivotal to redefining MNC-host country dynamics. This decision may increase worldwide tax revenues by almost €127 billion and bridge the gap between industrialised and underdeveloped nations.

Figure 1: Global Minimum Tax Illustration (Source: Gartner)

Background

The OECD set forth a comprehensive work programme on May 31, 2019, addressing the tax issues raised by the digital economy. The main goal was to tackle the consequences and prevent further development of different national laws governing corporate profits. Aiming for consensus-driven solutions that would apply to major, global enterprises, as well as the broader international economy, the OECD recognised the potential barriers to innovation and economic growth that unilateral acts could cause. This initiative signalled the start of the global taxation journey. Beginning with the Base Erosion and Profit Shifting (BEPS) framework, the OECD laid the foundation for the Global Minimum Tax.

A common vision for the future of international taxes was cemented during the G20 summit in Venice. The 2008 financial crisis and the pandemic were two important topics discussed: in light of their combined effects the G20's endorsement showed that action was required.

After US proposal for a global minimum tax was approved by the G7 on July 1, 2021, the OECD issued principles for future taxation in its Inclusive Framework: these principles are based on two pillars, with specifics anticipated to be finalised by the end of 2021 and submitted to the G20 for final revision and approval.

In the first pillar, taxing rights are shifted to market states where consumers make purchases of goods and services. Profits made in the state of commercialization will be subject to taxation for companies with an annual turnover above €20 billion and a profit margin of 10%. This will enable taxation even in cases when there is no physical presence in a nation. In the second pillar, a minimum tax rate of 15% is advocated for MNCs. There are ongoing discussions on the rate, with France advocating for an 18% rate. Moreover, the minimum tax rate's applicability in countries with rates lower than 15% is subject to a €750 million revenue threshold.

Issues

The expectation is that emerging markets like India stand to benefit significantly from the global minimum tax. However, a substantial portion of the tax windfall is also anticipated to go to wealthier countries, including France and Germany. This redistribution attempts to address perceived unfairness in which nations with lower tax rates draw in disproportionately large amounts of money, depriving others of funds and resources. The proposal is being opposed by smaller countries like Estonia, Hungary, and Ireland that have historically profited from becoming tax havens. Ireland serves as a prime example of the potential difficulties faced by nations whose economies have been founded on advantageous tax regimes, given its low corporate tax rate. On the other hand, one of the main nations affected by corporate tax evasion is China. In 2013 alone, corporate tax avoidance cost Chinese tax authorities over £40 billion in lost income, according to a 2017 analysis conducted by academics at the United Nations University World Institute for Development Economics Research (see Figure 2). China views the proposed minimum tax as something that advances both international cooperation and its own domestic goals.

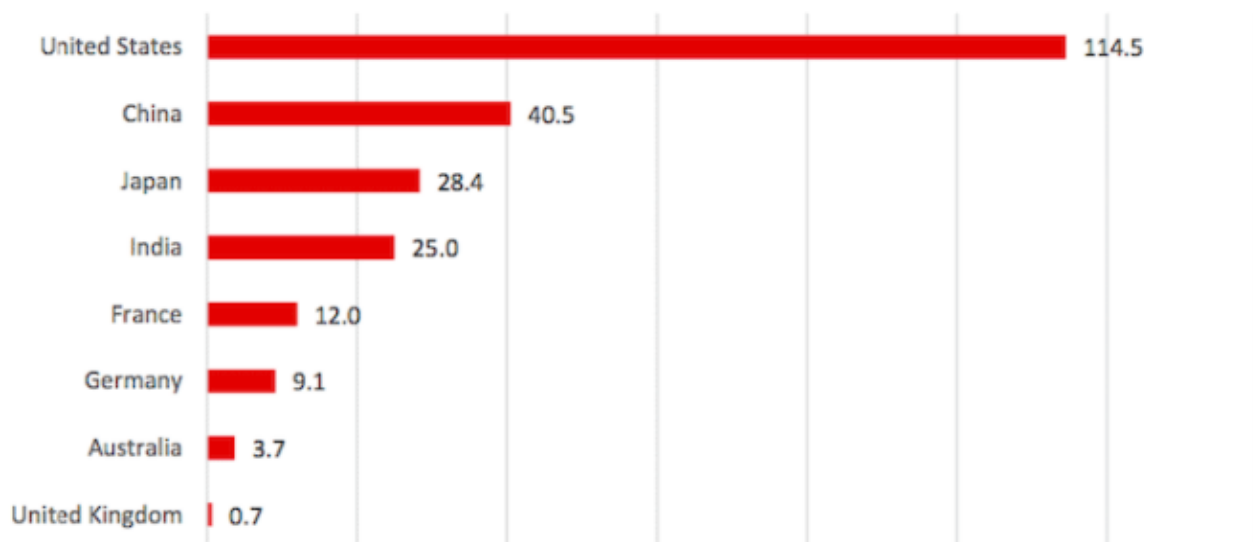


Figure 2: 2013 corporate tax evasion losses expressed in billions of pounds (Source: UN-WIDER)

Establishing a global minimum level of corporate taxation for major multinational corporations is the main goal of Pillar Two. The benchmark, or the as-yet-to-be-determined global minimum rate, will be used to evaluate the Effective Tax Rate (ETR), or the effective corporate tax that must be paid in a given nation. To compute the ETR on a country-by-country basis, the Global Anti Base Erosion, or GloBE, formally introduced in January 2019, will be established.

The proposed system is technically complex and requires application in all jurisdictions where the multinational enterprise operates. To simplify administration, options such as “country-by-country reporting ETR safe-harbour” and “de minimis profit exclusion” could be included. The primary issues and concerns, however, are related to possible manipulation of the GloBE base, namely with reference to intra-group transactions intended to purposefully inflate or deflate the ETR. One potential loophole that could allow firms to affect the application of top-up tax procedures is hybrid financial arrangements. Additionally, the absence of anti-abuse safeguards in the GloBE base computation can present chances for corporates to strategically affect their jurisdictional ETR.

The effectiveness and stability of taxation could be threatened if firms find ways to position themselves near the minimum level to minimize tax costs. The identified issues may need further exploration, with a broad restructuring addressing the root cause of the problem.

Options

In light of possible tax manipulation within the planned Pillar Two framework, Germany ought to underline the importance of strong anti-abuse regulations. Since our country’s tax-to-GDP ratio has recently increased, any changes to tax law should be carefully considered in terms of their effect on the country’s fiscal health. It is critical to strike a balance between national and international responsibilities. The corporate tax system in Germany consists of a flat 15% corporation tax plus a 5.5% solidarity surcharge, for a total tax rate of 15.825%. In addition to a municipal tax rate that varies from 8.75% to 20.3% based on where the business has its permanent establishments, the trade tax has a base rate of 3.5%. The current corporation tax rate alignment in Germany will likely benefit the proposal for a global minimum corporate income tax of 15%.

First and foremost, it is essential to conduct a thorough examination of Double Taxation Treaties (DTTs) to find and limit any potential loopholes that might be used to manipulate taxes. By ensuring that current treaties support Pillar Two's goals, this assessment seeks to strengthen Germany's anti-abuse framework. Examining DTTs gives foreign companies insight into the tax consequences of their operations. Renegotiating DTTs, however, entails complex and drawn-out bilateral negotiations, and changes may lead to disagreements between certain nations, thereby straining diplomatic ties, particularly if they believe the agreements would negatively impact their interests. Furthermore, companies who depend on current DTTs may object to modifications that have an impact on their well-established tax planning techniques.

Secondly, there should be a balance between domestic concerns with international considerations ensuring that Germany's tax policies cater to both local needs and global challenges, enhancing Germany's competitiveness in the global market. The government should demonstrate commitment to considering the interests of both citizens and the international community. However, achieving the right balance necessitates meticulous consideration and some stakeholders may still criticize the perceived skew towards one side, generating discontent: certain domestic groups may oppose measures perceived as compromising national interests.

The coordinated efforts of pertinent government departments, regulatory agencies, and international cooperation are critical to the success of these courses of action. It is important to be flexible, and to continuously evaluate and adjust in response to the changing global tax scene.

Recommendations

Foreign direct investment benefits both the source and resident countries when the race to the bottom, tax havens, and low-tax strategies are eliminated. Rather than deterring investment, the emphasis should be on preventing firms from moving their intangible profits to low-tax jurisdictions. The following actions should be considered:

1. To reduce ambiguity and strengthen the stability of the GloBE tax base computation, provide precise wording and measures that specifically address potential loopholes and gaming techniques.
2. Strongly advocate for Pillar Two's inclusion of all-encompassing anti-abuse measures, to counter strategic tax planning.
3. Promote stricter guidelines for reporting and transparency.
4. Encourage the creation of international multilateral agreements beyond the minimum tax rate. Work together with fellow G20 members to investigate ways to tackle tax issues that result from digital transformation and evolving company models. This might include developing a comprehensive international tax framework that considers the equitable distribution of profits among countries in addition to the set tax rate.
5. Make improvements to the Common Reporting Standards (CRS) to guarantee a more thorough and instantaneous interchange of financial data between countries, providing more effective means of identifying and countering any tax avoidance tactics.
6. Promote the growth and improvement of the standards for country-by-country reporting: this may involve providing more thorough information on the economic activity, earnings, taxes paid, and workforce size in each of the jurisdictions in which a global corporation conducts business.

7. Consider incentives for companies that contribute positively to environmental, social, and governance (ESG) criteria, aligning tax policies with broader global objectives.
8. Support capacity-building initiatives and offer technical assistance to developing nations to strengthen their tax administration capabilities.